

Refer to [Exhibit A](#) for Rural Housing origination instructions.

PRIMARY RESIDENCE – RATE/TERM REFINANCE	
Property Type	1-Unit Condo PUD
Maximum LTV	None
Maximum CLTV	None ¹
Maximum Loan Amount	No specific maximum loan amount; borrower must meet income limit and qualify for the loan
Maximum Ratios	Not used
Minimum Credit Score	580
Reserves	Not required
Guarantee Fee	<u>Upfront Fee</u> 1.00% of the Gross Loan Amount <u>Annual Fee (Paid Monthly)</u> 0.35%

1. Refer to the [Subordinate Financing](#) section.

PROGRAM SUMMARY

The Guaranteed Rural Housing (GRH) Streamlined-Assist program offers a 30-year fixed-rate mortgage loan guaranteed by the U.S. government through USDA-Rural Development (RD) for borrowers whose existing loan is also a Guaranteed Rural Housing loan. The existing loan may be serviced by Flagstar Bank or another loan servicer.

- Basic requirements of the program:
 - Non-traditional, alternative credit and no credit score loans are now eligible and will follow the USDA Handbook HB-1-3555 requirements.**
 - The existing loan to be refinanced must have been current for the previous 12 months prior to application. The permanent file for the new loan must contain documented evidence that the payment history requirements have been met.
 - No appraisal or property inspections are required. Enter the requested base loan amount (loan amount before adding the Guarantee Fee) as the estimated value in Loantrac.
 - Debt-to-income ratios are not used.
 - The interest rate of the new loan must be at or below that of the existing loan.
 - Borrowers may be added but not removed (unless deceased) from the existing loan.
 - Customary and reasonable closing costs may be financed into the new loan.
 - Borrower must receive a net tangible benefit to refinance under this program; a tangible benefit is defined as a \$50 or greater reduction in their principal, interest and annual fee monthly payment compared to the existing principal, interest and annual fee monthly payment.
 - Existing loans may be refinanced even if the property is no longer in a designated rural area.

PRODUCTS OFFERED

Product	Loan Term
GRH Streamlined-Assist 30-Year	30-Year Fixed

PRICING

The GRH program is priced to the GNMA I 30Y or GNMA II 30Y pricing (depending on the desired rate) listed on the daily price indication sheets, but subject to the maximum interest rate listed under Government Price Adjustments. The interest rate selected for the GRH Streamlined-Assist loan must be at or below the interest rate on the existing GRH loan being refinanced.

RURAL DEVELOPMENT STATE WEBSITES

Websites for state Rural Development offices can be accessed by inputting the main address, then adding the 2-letter state code. Main web address: <http://www.rd.usda.gov/>

EXAMPLE

State of Michigan
<http://www.rd.usda.gov/mi>

RURAL DEVELOPMENT FORMS

Most Rural Development forms are available at the [USDA Service Center Agencies eForms](#) site:

FORM RD 3555-21, REQUEST FOR SINGLE FAMILY HOUSING LOAN GUARANTEE

[Form RD 3555-21](#) must be submitted to Underwriting with the initial loan submission. Borrower and co-borrower must sign page two. The version dated "Rev.03-21" must be used for all loan submissions beginning on and after May 1, 2021.

ELIGIBLE BORROWERS

- Borrowers may be added but not removed (unless deceased) from the existing loan.
- If an existing borrower is a resident alien, evidence of their residency status must be submitted:
 - Submit INS/CIS Form I-551, Alien Registration Receipt Card (a.k.a. green card) for permanent resident aliens.
 - For non-permanent resident aliens, obtain from the applicant whichever documentation is available as shown on page 8-8 of [Chapter 8, Applicant Characteristics](#) of RD Technical Handbook, HB-1-3555.
 - Refer to [Chapter 8, Applicant Characteristics](#) of RD Technical Handbook, HB-1-3555 for further information.
- Married borrowers who were on the original loan without their spouse:
 - Income of the spouse must be verified and included in the household income calculation to determine if household is income eligible.
 - Credit of the spouse is not considered a reason to deny a loan application.
 - The spouse will not sign the note, but will sign the security instrument.

INELIGIBLE BORROWERS

- Borrowers closing in a trust (if a property has been moved into a trust since the existing loan was closed, it must be removed from the trust prior to closing on the refinance).

ELIGIBLE PROPERTY TYPES

Any property securing a GRH loan except manufactured housing

INELIGIBLE PROPERTY TYPES

Manufactured homes; note: RD will accept manufactured homes under this program, Flagstar will not.

INCOME LIMITS

- An IRS Form 4506-C is required for ALL adults living in the household
- Income used for purposes of determining eligibility for the GRH program is referred to as adjusted annual income, and it is an estimate of the annual income to be received by all adult members of the household over the next 12 months; adjusted annual income is not the same as repayment income, which includes only income from the loan applicants and which must be determined by the underwriter to be stable and dependable
- Annual income, adjusted annual income and repayment income will all be determined by using the *Worksheet for Documenting Eligible Household and Repayment Income*, which is Attachment 9-B to Chapter 9, Income Analysis, of RD Technical Handbook, HB-1-3555
- Adjusted annual income may not exceed 115% of the median income for the area in which the subject property is located; the income limits published [here](#) are calculated at 115% of the median income and cannot be exceeded
- Tax exempt income is included for purposes of determining whether adjusted annual income conforms to the income limits, but it is not grossed up

HOMEBUYER EDUCATION

Not required

MAXIMUM LOAN AMOUNT

The loan amount may include the principal balance of the existing loan plus a portion of or the full upfront Guarantee Fee and eligible loan closing costs. No cash out is permitted. Enter the requested base loan amount (loan amount before adding the Guarantee Fee) as the estimated value in Loantrac.

TEMPORARY BUY-DOWNS

Not eligible. RD will permit temporary buy-downs, Flagstar will not.

RESERVES

Not required

SUBORDINATE FINANCING

No maximum CLTV; any subordinate financing cannot be included in the new loan and must remain subordinate.

GIFTS

Gifts and grants from non-profit, government or community agencies are allowed towards closing costs and prepaid items. A gift letter is required.

INTERESTED PARTY CONTRIBUTIONS

Not applicable

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using HUD's Credit Alert Interactive Voice Response System (CAIVRS). Rural Development will not insure a loan if the borrower is currently delinquent on any unpaid federal debt or has had a claim paid within the previous three years. A CAIVRS number that begins with anything other than an A must be investigated and verification must be obtained that the debt has been satisfied prior to moving forward with the loan application.

SYSTEM FOR AWARD MANAGEMENT (SAM)

All applicants and other parties to the transaction (including loan officers, processors and underwriters) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](https://www.sam.gov/portal/public/SAM/) (<https://www.sam.gov/portal/public/SAM/>). An applicant/other parties are ineligible if he/she is presently delinquent on any Federal debt or is suspended or debarred, or otherwise excluded from participating in Rural Development programs. Customers will check the website above and submit screen prints of the results of those checks for all parties along with their underwriting submission to Flagstar. The checks should occur no greater than 30 days prior to loan closing, otherwise documentation will need to be updated by performing another check of SAM and submitting the new screen print to Flagstar.

PROPERTY GUIDELINES

APPRAISAL STANDARDS

- An appraisal is not required, and a new appraisal will not be accepted.
- Property value entered in Loantrac should equal the requested base loan amount.
- Underwriter should enter *GRH REFI PILOT* as the appraiser name.

PROPERTY STANDARDS

- Property must be in area designated as rural by Rural Development (refer to the [USDA Income and Property Eligibility](#) site) or an area that was eligible at the time of the loan closing on the existing loan.
- Condominiums must meet Fannie Mae or Freddie Mac warranty guidelines or be HUD or VA approved.

FLOOD HAZARD REQUIREMENTS

- The lender must complete, or arrange for a contractor to complete, FEMA Form 086-0-32, Standard Flood Hazard Determination Form (SFHDF) to determine whether the dwelling is located in a Special Flood Hazard Area (SFHA) in accordance with the National Flood Insurance Reform Act of 1994.
- Existing dwellings are eligible under the SFHGLP only if flood insurance through FEMA's National Flood Insurance Program (NFIP) is available for the community and flood insurance whether NFIP, write your own, or private flood insurance, as approved by the lender, is purchased by the borrower. Lenders are required to accept private flood insurance policies that meet the requirements of 42 USC 4012a(b)(1)(A). Insurance must be obtained as a condition of closing and maintained for the life of the loan for an existing residential structures property when any portion of the residential improvements structure is determined to be located in a SFHA, including decks and carports, etc. However, according to the Homeowner Flood Insurance Affordability Act (HFIAA) of 2014, flood insurance is not required for any additional structures that are located on the property but are detached from the primary residential structure and do not serve as a residence, such as sheds, garages, or other ancillary structures.

Part of the site may be located in the SFHA without triggering these requirements, as long as no part of the dwelling is located in the SFHA. At the lender's discretion they may require national flood insurance

even if the residential building and related improvements to the property are not located within the SFHA, but the lender has reason to believe that the building and related improvements to the property may be vulnerable to damage from flooding.

Flood insurance must cover the lesser of the outstanding principal balance of the loan or the maximum amount of coverage allowed under FEMA's National Flood Insurance Program (NFIP). Unless a higher maximum amount is required by state or federal law, the maximum deductible clause for a flood insurance policy should not exceed the greater of \$1,000 or 1 percent of the face amount of the policy.

UNDERWRITING

- All loans will be MANUALLY underwritten to current Flagstar Bank and Rural Development guidelines. RD's Guaranteed Underwriting System (GUS) cannot be used for loans submitted under this program.
- Rural Development's basic eligibility and underwriting guidelines are found in [7 CFR 3555](#) and the [RD Technical Handbook, HB-1-3555](#).
- Use the *Flagstar Rural Housing Processing Checklist*, [Doc. #9801](#), for documentation required for submission to Flagstar Underwriting.
- Basic requirements of the program:
 - **Non-traditional, alternative credit and no credit score loans are now eligible and will follow the USDA Handbook HB-1-3555 requirements.**
 - **Loans for borrowers with non-traditional credit are permissible; a credit score of 999 should be entered for those borrowers.**
 - The existing loan to be refinanced must have been current for the previous 12 months prior to application. The permanent file for the new loan must contain documented evidence that the payment history requirements have been met.
 - No appraisal or property inspections are required.
 - Debt-to-income ratios are not used.
 - The interest rate of the new loan must be at or below that of the existing loan.
 - Borrowers may be added but not removed (unless deceased) from the existing loan.
 - Customary and reasonable closing costs may be financed into the new loan.
 - Borrower must receive a net tangible benefit to refinance under this program; a tangible benefit is defined as a \$50 or greater reduction in their principal, interest and annual fee monthly payment compared to the existing principal, interest and annual fee monthly payment.
 - Existing loans may be refinanced even if the property is no longer in a designated rural area.
- Flagstar will permit credit reports from any vendor when underwriting GRH Streamlined-Assist loans.
- The underwriter must review the credit report: 1) to ensure Flagstar's minimum credit score has been satisfied, and 2) to ensure that the borrower has no late payments on the existing mortgage at any point in the past 12 months. Also, Flagstar reserves the right to deny any loan application that, in its sole discretion, has unacceptable credit.
- The broker/correspondent is to fill out the Request for Single Family Housing Loan Guarantee, [Form RD 3555-21](#). The borrower and co-borrower must sign page two. In addition, the broker/correspondent is to fill out the *Worksheet for Documenting Eligible Household and Repayment Income*, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555. For non-delegated customers, the forms must be submitted to the underwriter with the initial loan submission. The 3555-21 must be completely filled out and signed by the underwriter and applicants PRIOR to submitting the loan to the [appropriate RD production team](#).

- Once the underwriter issues a conditional loan approval where the only outstanding prior to close conditions are not likely to affect the ability of the [appropriate RD production team](#) to issue an RD Conditional Commitment, the underwriter will send the appropriate documents to the [appropriate RD production team](#) for their review. Non-delegated brokers/correspondents should not submit anything to RD.
- Documentation to include in submission to the [appropriate RD production team](#).
 - Request for Single Family Housing Loan Guarantee, [Form RD 3555-21](#).
 - Household income verifications.
 - Loan application.
 - Resident alien status verifications, if applicable.
 - Flood certificate (FEMA Form 086-0-32).
- Income/Employment Documentation:
 - Non-self-employed applicants must meet one of the following plus a signed IRS Form 4506-C:
 - Request for Verification of Employment, [Form RD 1910-5](#) or the equivalent FHA/VA/Fannie Mae form, and the most recent paycheck stub, or
 - Paycheck stubs or payroll earnings statements covering the most recent 30-day period, and W-2 tax forms for the previous two tax years, and a verbal verification of employment (VOE) as required, or
 - Electronic verification or other computer-generated documents accessed and printed from an Intranet or Internet, and W-2 tax forms for the previous two tax years, and a verbal VOE, as required.
 - Refer to Section 2: Repayment Income of [Chapter 9, Income Analysis of RD Technical Handbook, HB-1-3555](#) for further guidance.
 - Self-employed applicants must submit the following:
 - Signed individual Federal income tax returns with all appropriate schedules for the most recent two tax years.
 - Signed business Federal tax returns for the most recent two tax years:
 - Sole proprietor: Schedule C to individual Form 1040
 - Partnership: Form 1065
 - S Corporation: Form 1120S
 - Corporation: Form 1120
 - Current profit and loss statement for the business.
 - Current balance sheet for the business.
 - IRS Form 4506-C, signed.
 - Refer to Section 2: Repayment Income of [Chapter 9, Income Analysis of RD Technical Handbook, HB-1-3555](#) for further guidance on underwriting self-employed applicants as well as information on how to treat business debts.
 - Part-time, Second Job and/or Seasonal Income:
 - Income from a second job or part-time job may be counted for repayment income if the applicant has worked this position uninterrupted for the past two years and will continue to do so. This type of income must be likely to continue for the next three years.
 - Income from seasonal employment (e.g., umpiring baseball games in summer or working at a department store during the Christmas shopping season) is considered uninterrupted and may be counted if the applicant has worked the same type of job for the past two years.

- Income from a part-time position that has been received for less than two years may be counted if the lender is able to determine through employer verification that the income's continuance is likely at the level of receipt verified in the past. Income from part-time positions not meeting these requirements may be considered as a compensating factor, as described in [Chapter 11, Ratio Analysis of RD Technical Handbook, HB-1-3555](#).
- To utilize secondary employment or seasonal income for repayment, the income must be reported on the applicant's federal income tax returns for the most recent two years.
- Alimony and child support income must have a history of receipt of no less than 12 months.
- Social Security or disability income:
 - Document receipt of income with award letter.
- When considering income not subject to Federal income tax, for example, certain types of disability payments or military allowance, the amount of continued tax savings attributable to non-taxable income source may be added to the applicant's repayment income. Income that has been verified to be tax exempt may be grossed up by 25 percent, in other words, multiplied by 125 percent to gross up such income. No other adjustments for tax exempt income are authorized. Tax exempt income sources should not be grossed up when calculating eligibility income.
- Rental income:
 - Net monthly rental income must always be included in household income for income eligibility purposes. To calculate the amount to be included in household income, the monthly gross rents amount must be reduced by a vacancy factor of 25% before subtracting the monthly principal, interest, taxes, insurance, and homeowners association dues, etc. Treat the income as follows:
 - Positive net rental income is included in household income
 - Negative net rental income is treated as \$0.
- Debts/Obligations:
 - Debt-to-income ratios are not used in underwriting the GRH Streamlined-Assist.
 - All federal judgments must be satisfied prior to closing.
- Assets:
 - Assets are not required for the GRH Streamlined-Assist, except as they may influence program eligible income. Refer to Paragraph 9.4 of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for additional information regarding assets and program eligible income. Assets meeting the requirements of that paragraph will require verification documentation in the file.
 - Depository accounts (e.g., checking, savings, certificate of deposit, money market):
 - Verification of Deposit with the average two-month balance, or two consecutive monthly bank statements dated within 45 days of the initial loan application date.
 - The lesser of a two-month average balance or the actual balance (as reported on the most recent statement). Refer to Paragraph 9.3 of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for documentation standards and examples of calculating the average monthly balance of assets.
 - Gift funds:
 - Funds may be provided by the applicant's relative, employer or labor union, charitable organization, or government agency/public entity that has a program to provide homeownership assistance to low and moderate income applicants.
 - Refer to Section 9.3(E)(1) of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for information on verification of gifts.

- Sale proceeds from currently owned property:
 - Final HUD-1 Settlement Statement or Closing Disclosure indicating cash sales proceeds actually realized by borrower.
 - Proceeds from the sale of the property should be included in the borrower's liquid assets (such as a checking or savings account).
- Retirement accounts (e.g., IRAs, thrift savings plans, 401(k)s, and Keogh accounts):
 - To account for withdrawal penalties and taxes, 60% of the vested amount will be used as the value of retirement assets. Accounts that restrict withdrawals only in connection with the borrower's employment separation, retirement, or death will not be considered as assets.
 - Obtain the most recent statement.
 - Funds borrowed against these accounts may be used for loan closing, but are not to be considered as cash reserves
- Stocks and bonds:
 - Obtain the most recent monthly or quarterly statement provided by the stockbroker or financial institution managing the portfolio.
- Borrowers owning multiple dwellings: Applicants are limited to retaining ownership in one dwelling other than the one associated with the loan request. The retained dwelling must be outside of the local commuting area or not be structurally sound and functionally adequate.
- An escrow account is required. Therefore, escrow waivers are not permitted.
- Escrow credits are not permitted. The borrower's existing escrow balance may not be credited to the payoff and/or credited anywhere on the Closing Disclosure.
- The Rural Development Conditional Commitment for Single Family Housing Loan Guarantee, [Form RD 3555-18](#) must be received by the underwriter prior to issuing a Final Approval.
- Final loan approval must include a statement about the maximum interest rate (e.g., The maximum interest rate is ____%), which is to be drawn from the RD Conditional Commitment.

FEES

GUARANTEE FEE

The guarantee fee for all transactions is 1.00% of the gross (final) loan amount. The guarantee fee may be financed or paid at closing. If the upfront fee is financed, it is calculated as the base loan amount (before the guarantee fee is added, but after other financed items) divided by 0.99, rounded down to the nearest dollar, and then multiplied by 0.01. The gross loan amount may only exceed the appraised value by the amount of the financed guarantee fee.

ANNUAL FEE (PAYABLE MONTHLY)

0.35%

Calculate the amount for the upfront and annual guarantee fees using the [Guarantee Upfront and Annual Fee Calculator](#).

Loantrac permits the following three options regarding the upfront guarantee fee:

- Full financing of the upfront guarantee fee (except for any amount less than one dollar),
- Partial financing of the fee (with the remainder paid in cash at closing), or
- Paying the full upfront guarantee fee in cash at closing.

Customers should refer to Loantrac's Guaranteed Rural screen for the breakdown of the financed vs. paid in cash portions of the guarantee fee.

OTHER FEES

- Fees and charges associated with originating/closing a GRH loan cannot exceed fees charged for loans insured or guaranteed by the FHA or VA; refer to Paragraph 6.2C of [Chapter 6, Loan Purpose of RD Technical Handbook, HB-1-3555](#)
- Customary and reasonable closing costs and other fees may be charged to the borrower by the lender. Such charges may not exceed the cost paid by the lender or charged to the lender by the service provider. Excessive fees are not permitted.
- Loan discount points may not be financed for this program.

STATE ELIGIBILITY

Available in all 50 states and the U.S. Virgin Islands, but not available in the following areas:

State	Restriction
District of Columbia	Not eligible
Puerto Rico	Not eligible

LATE FEE

Flagstar requires a 5% late fee for GRH transactions.

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing documentation may be obtained from Flagstar's Web Based Closing Documents (WBCD) service available on Loantrac.

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Copy of Preliminary Title Policy or Preliminary Opinion (with environmental endorsement).
- Copy of Homeowners Policy or Binder.

Cash back to the borrower at closing is not allowed. Any excess funds from the closing should be returned to Flagstar as a principal curtailment of the new loan.

EXHIBIT A

How to originate a non-delegated Rural Housing loan with Flagstar:

1. Take the application, ensure applicant is eligible for a guaranteed loan based on:
 - a. Income eligibility (use RD's Worksheet for Documenting Eligible Household and Repayment Income, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555)
 - b. Initial review of credit
2. Confirm eligibility through USDA's [Income and Property Eligibility](#) site (for income only).
3. All applicants and other parties to the transaction (including loan officers) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](#) (<https://www.sam.gov/portal/public/SAM/>). Obtain screen prints for results of all checks and submit with underwriting file.
4. Upload/input loan application into Loantrac, select product using a Loan Type of *Rural*, complete Guaranteed Rural screen on Loantrac, run credit through Loantrac, order verifications, etc.
5. Retrieve and follow the *Flagstar Rural Housing Processing Checklist*, [Doc. #9801](#).
6. Complete all applicable Rural Development forms, to include signatures, and then submit loan application package to Flagstar for underwriting review.
7. Once Flagstar issues its conditional loan approval, the underwriter will submit file to the [appropriate RD production team](#) for their review.
8. Rural Development reviews loan and issues [Form RD 3555-18](#), Conditional Commitment of Single Family Housing Loan Guarantee.
9. Flagstar reviews and clears conditions listed on the [Form RD 3555-18](#) and places loan into Final Approval status.
10. Broker/correspondent locks interest rate with Flagstar Marketing department (if not previously locked). Save confirmation in the file.
11. Schedule the closing. Prepare closing documents using Flagstar's Web Based Closing Docs (WBCD) service available on Loantrac. Order funds.
12. Close the loan.
13. Deliver closed loan package to Flagstar.
14. Flagstar submits the guarantee package to Rural Development using RD's [Loan Closing Stacking Order Checklist](#).
15. Rural Development issues the Loan Note Guarantee, [Form RD 3555-17](#) to Flagstar.